



Interim Financial Statements
Period Ended 31 December 2018

AMBEON CAPITAL PLC AND ITS SUBSIDIARIES
STATEMENT OF PROFIT OR LOSS

For the Quarter Ended 31st December,	GROUP			COMPANY		
	2018	2017	% Change	2018	2017	% Change
	LKR	LKR		LKR	LKR	
Continuing Operations						
Revenue	5,383,963,093	2,841,725,463	89%	(13,467,129)	28,417,543	-147%
Direct Cost	(4,249,415,230)	(2,273,732,709)	87%	-	-	-
Gross Profit	1,134,547,863	567,992,754	100%	(13,467,129)	28,417,543	-147%
Investment and Other Income	18,157,341	60,813,940	-70%	91,297	3,441,037	-97%
Selling and Distribution Expenses	(189,194,156)	(121,732,609)	55%	-	-	-
Administrative Expenses	(494,636,457)	(429,009,908)	15%	(10,405,379)	(31,676,960)	-67%
Change in Fair Value of Financial Assets Held for Trading	56,350,297	(82,843,877)	-168%	312,536	15,468,718	-98%
Changes in Fair Value of Investment Property	11,200,000	219,234,192	-95%	-	-	-
Finance Cost	(233,744,033)	(178,574,121)	31%	(119,627,981)	(149,202,186)	-20%
Profit/(Loss) Before Income Tax from Continuing Operations	302,680,855	35,880,371	744%	(143,096,655)	(133,551,848)	7%
Income Tax Expense	(67,944,384)	(25,877,831)	163%	-	-	-
Profit/(Loss) for the Period from Continuing Operations	234,736,471	10,002,540	2247%	(143,096,655)	(133,551,848)	7%
Discontinued Operations						
Profit/(Loss) after tax for the period from discontinued operations	(1,433,705)	17,119	-8475%	-	-	-
Profit/(Loss) for the period	233,302,766	10,019,659	2228%	(143,096,655)	(133,551,848)	-
Profit Attributable to:						
Equity Holders of the Company	107,127,840	(53,738,889)	-299%	(143,096,655)	(133,551,848)	-
Non - Controlling Interests	126,175,626	63,758,547	98%	-	-	-
	233,303,466	10,019,659	2228%	(143,096,655)	(133,551,848)	-
Basic Earnings / (Deficit) Per Share	0.11	(0.05)		(0.14)	(0.13)	

The Notes form an integral part of these Financial Statements
Figures in bracket indicate deductions

AMBEON CAPITAL PLC AND ITS SUBSIDIARIES
STATEMENT OF OTHER COMPREHENSIVE INCOME

	GROUP		COMPANY	
For the Quarter Ended 31st December,	2018 LKR	2017 LKR	2018 LKR	2017 LKR
Profit/ (Loss) for the Period	233,302,766	10,019,659	(143,096,655)	(133,551,848)
Other Comprehensive Income				
Items that will never be reclassified to profit or loss				
Defined Benefit Obligations Actuarial Gain / (Loss)	-	-	-	-
Related Tax	-	-	-	-
	-	-	-	-
Items that are or may be reclassified to profit or loss				
Revaluation Gain of Land and Bulding	-	-	-	-
Tax on Revaluation Gain	-	-	-	-
Change in Fair Value - AFS Investments	-	-	-	-
Currency Translation of Foreign Operation	(297,742,799)	-	-	-
Currency Translation of Foreign Operation reserve reclassified to profit or loss	-	-	-	-
	(297,742,799)	-	-	-
Total Other Comprehensive Income	(297,742,799)	-	-	-
Total Comprehensive Income for the Period	(64,440,033)	10,019,659	(143,096,655)	(133,551,848)
Total Comprehensive Income Attributable to:				
Equity Holders of the Company	(129,505,599)	(53,738,889)	(143,096,655)	(133,551,848)
Non - Controlling Interests	65,065,867	63,758,547	-	-
	(64,439,733)	10,019,659	(143,096,655)	(133,551,848)

AMBEON CAPITAL PLC AND ITS SUBSIDIARIES
STATEMENT OF PROFIT OR LOSS

For the Period Ended 31st December,	GROUP			COMPANY		
	2018	2017	% Change	2018	2017	% Change
	LKR	LKR		LKR	LKR	
Continuing Operations						
Revenue	13,393,015,596	8,149,518,101	64%	(18,454,099)	190,352,659	-110%
Direct Cost	(10,534,909,902)	(6,625,574,547)	59%	-	-	-
Gross Profit	2,858,105,694	1,523,943,554	88%	(18,454,099)	190,352,659	-110%
Investment and Other Income	61,047,091	99,776,572	-39%	364,974,022	6,593,948	5435%
Selling and Distribution Expenses	(515,268,268)	(321,210,134)	60%	-	-	-
Administrative Expenses	(1,816,511,136)	(1,059,807,646)	71%	(31,208,330)	(67,784,438)	-54%
Change in Fair Value of Financial Assets Held for Trading	(177,259,891)	219,354,061	-181%	(315,964)	13,109,599	-102%
Changes in Fair Value of Investment Property	11,200,000	219,234,192	-95%	-	-	-
Finance Cost	(678,721,844)	(574,521,262)	18%	(349,492,732)	(437,913,758)	-20%
Profit/(Loss) Before Income Tax from Continuing Operations	(257,408,354)	106,769,337	-341%	(34,497,102)	(295,641,990)	-
Income Tax Expense	(169,604,563)	(81,203,554)	109%	-	-	-
Profit/(Loss) for the Period from Continuing Operations	(427,012,917)	25,565,783	-1770%	(34,497,102)	(295,641,990)	-
Discontinued Operations						
Profit/(Loss) after tax for the period from discontinued operations	(2,114,371)	(1,737,320)	22%	-	-	-
Profit/(Loss) for the period	(429,127,288)	23,828,463	-1901%	(34,497,102)	(295,641,990)	-
Profit Attributable to:						
Equity Holders of the Company	(527,893,306)	(65,540,024)		(34,497,102)	(295,641,990)	
Non - Controlling Interests	98,766,719	89,368,486		-	-	
	(429,126,587)	23,828,463		(34,497,102)	(295,641,990)	-
Basic Earnings / (Deficit) Per Share	(0.53)	(0.07)		(0.03)	(0.29)	

The Notes form an integral part of these Financial Statements
Figures in bracket indicate deductions

AMBEON CAPITAL PLC AND ITS SUBSIDIARIES
STATEMENT OF OTHER COMPREHENSIVE INCOME

	GROUP		COMPANY	
For the Period Ended 31st December,	2018	2017	2018	2017
	LKR	LKR	LKR	LKR
Profit/ (Loss) for the Period	(429,127,288)	23,828,463	(34,497,102)	(295,641,990)
Other Comprehensive Income				
Items that will never be reclassified to profit or loss				
Defined Benefit Obligations Actuarial Gain / (Loss)	-	-	-	-
Related Tax	-	-	-	-
	-	-	-	-
Items that are or may be reclassified to profit or loss				
Revaluation Gain of Land and Building	112,185,000	-	-	-
Tax on Revaluation Gain	(31,411,800)	-	-	-
Currency Translation of Foreign Operation	(297,742,799)	-	-	-
Currency Translation of Foreign Operation reserve reclassified to profit or loss	-	-	-	-
	(216,969,599)	-	-	-
Total Other Comprehensive Income	(216,969,599)	-	-	-
Total Comprehensive Income for the Period	(646,096,886)	23,828,463	(34,497,102)	(295,641,990)
Total Comprehensive Income Attributable to:				
Equity Holders of the Company	(698,818,902)	(65,540,024)	(34,497,102)	(295,641,990)
Non - Controlling Interests	52,722,317	89,368,486	-	-
	(646,096,886)	23,828,463	(34,497,102)	(295,641,990)

AMBEON CAPITAL PLC AND ITS SUBSIDIARIES
STATEMENT OF FINANCIAL POSITION

As at,	GROUP		COMPANY	
	31-Dec-18	31-Mar-18	31-Dec-18	31-Mar-18
	LKR	Audited LKR	LKR	Audited LKR
ASSETS				
Non-Current Assets				
Property, Plant & Equipment	4,685,370,466	5,474,938,163	17,729,350	446,108
Intangible Assets	846,047,162	845,866,849	-	-
Biological Assets	48,281,950	48,281,950	-	-
Investment Property	2,774,993,034	1,688,188,153	29,000,000	29,000,000
Investment in Subsidiaries	-	-	5,179,202,175	5,149,202,175
Other Financial Assets	28,092,807	25,234,242	-	-
Deferred Tax Asset	274,356,446	274,360,132	18,270,536	18,270,536
	8,657,141,866	8,356,869,490	5,244,202,061	5,196,918,819
Current Assets				
Inventories	3,625,009,422	3,758,051,548	-	-
Other Financial Assets	1,304,548,064	2,409,055,751	49,570,129	757,790,605
Trade & Other Receivables	4,957,955,395	4,009,655,688	96,493,560	104,765,555
Income Tax Recoverable	25,375,579	16,476,850	-	-
Cash & Cash Equivalents	629,396,047	1,999,187,137	321,537	372,368
	10,542,284,507	12,192,426,975	146,385,226	862,928,527
Total Assets	19,199,426,372	20,549,296,465	5,390,587,287	6,059,847,346
EQUITY AND LIABILITIES				
Equity				
Stated Capital	1,053,643,405	1,053,643,405	1,053,643,405	1,053,643,405
Foreign Currency Translation Reserve	(237,068,623)	(435,509)	-	-
Retained Earnings	1,107,289,511	2,140,513,433	637,931,252	1,033,409,287
Revaluation Reserves	916,614,596	856,717,592	-	-
Amalgamation Reserve	-	-	258,920,263	258,920,263
Equity Attributable to Equity Holders of the Company	2,840,478,889	4,050,438,921	1,950,494,920	2,345,972,955
Non Controlling Interests	2,791,566,853	2,428,238,516	-	-
Total Equity	5,632,045,742	6,478,677,437	1,950,494,920	2,345,972,955
Non-Current Liabilities				
Other Financial Liabilities	362,493,306	32,935,638	32,038,552	32,038,552
Interest Bearing Loans & Borrowings	3,542,379,363	1,562,021,994	3,042,015,586	-
Retirement Benefit Obligations	442,021,347	410,048,970	-	4,615,058
Deferred Tax Liability	659,367,177	620,479,220	-	-
	5,006,261,193	2,625,485,822	3,074,054,138	36,653,610
Current Liabilities				
Trade and Other Payables	2,923,029,419	3,292,344,120	30,646,635	31,460,607
Income Tax Payable	261,925,820	177,629,824	-	-
Deferred Income	656,574,699	748,150,496	-	-
Interest Bearing Loans & Borrowings	4,719,589,500	7,227,008,766	335,391,594	3,645,760,174
	8,561,119,438	11,445,133,206	366,038,229	3,677,220,781
Total Equity and Liabilities	19,199,426,372	20,549,296,465	5,390,587,287	6,059,847,346
Net Assets Per Share (Rs.)	2.83	4.04	1.95	2.34

The notes form an integral part of these financial statements.
Figures in brackets indicate deductions

I certify that the Financial Statements have been prepared in compliance with the requirements of Companies Act No. 07 of 2007.

Sgd
Haritha C Perera
Chief Financial Officer

The Directors are responsible for the preparation and presentation of these Financial Statements. Signed for and on behalf of the Board.

Sgd
Ajith Devasurendra
Deputy Chairman

Sgd
Murali Prakash
Group Managing Director/ CEO

12th February 2019
Colombo

AMBEON CAPITAL PLC AND ITS SUBSIDIARIES
STATEMENT OF CHANGES IN EQUITY

GROUP	Attributable to Equity Holders of the Company					Non Controlling Interests	Total Equity
	Stated Capital	Revaluation Reserve	Foreign Currency Translation Reserve	Retained Earnings	Total		
	Rs.			Rs.	Rs.	Rs.	Rs.
Balance as at 31 March 2017	1,053,643,405	445,801,569	(394,994)	2,016,509,172	3,515,559,152	2,069,496,197	5,585,055,349
Profit / (Loss) for the period				(65,540,024)	(65,540,024)	89,368,486	23,828,463
Other Comprehensive Income		-	-	-	-	-	-
	-	-	-	(65,540,024)	(65,540,024)	89,368,486	23,828,463
Balance as at 31 December 2018	1,053,643,405	445,801,569	(394,994)	1,950,969,148	3,450,019,128	2,158,864,683	5,608,883,812
Profit / (Loss) for the period				217,081,248	217,081,248	141,387,089	358,468,336
Other Comprehensive Income		410,916,023	(40,515)	(16,559,677)	394,315,831	130,184,490	524,500,321
Transactions with owners of the Company							
Contributions and Distributions							
Subsidiary Dividend Paid to Minority Share Holders				-	-	(12,248,532)	(12,248,532)
Total Contributions and Distributions	-	-	-	-	-	(12,248,532)	(12,248,532)
Holding Change through common control	-	-	-	(10,977,286)	(10,977,286)	10,050,786	(926,500)
Total changes in ownership interest	-	-	-	(10,977,286)	(10,977,286)	10,050,786	(926,500)
Total Transactions with owners of the Company	-	-	-	(10,977,286)	(10,977,286)	(2,197,746)	(13,175,032)
Balance as at 31 March 2018	1,053,643,405	856,717,592	(435,509)	2,140,513,433	4,050,438,921	2,428,238,516	6,478,677,437
Profit / (Loss) for the period				(527,893,306)	(527,893,306)	98,766,719	(429,126,587)
Other Comprehensive Income		65,707,843	(236,633,114)	(326)	(170,925,597)	(46,044,402)	(216,969,999)
Dividend Paid				(360,980,933)	(360,980,933)	(82,840,362)	(443,821,295)
Transfer		(5,810,840)		7,135,994	1,325,154	(1,325,154)	-
Holding Change				(151,485,351)	(151,485,351)	394,771,537	243,286,186
Balance as at 31 December 2018	1,053,643,405	916,614,596	(237,068,623)	1,107,289,511	2,840,478,889	2,791,566,853	5,632,045,742

COMPANY	Stated Capital	Amalgamation Reserve	Retained Earnings	Total Equity
	Rs.	Rs.	Rs.	Rs.
Balance as at 31st March 2017	1,053,643,405		602,698,453	1,656,341,858
Profit / (Loss) for the period			(295,641,990)	(295,641,990)
Balance as at 30 September 2017	1,053,643,405		307,056,463	1,360,699,868
Profit for the period			726,234,773	726,234,773
Other Comprehensive Income			118,053	118,053
Net Result to the Equity on Amalgamation		258,920,263	-	258,920,263
Total Comprehensive Income for the period		258,920,263	726,352,826	985,273,089
Balance as at 31st March 2018	1,053,643,405	258,920,263	1,033,409,289	2,345,972,957
Profit / (Loss) for the period	-	-	(34,497,102)	(34,497,102)
Dividend Paid			(360,980,935)	(360,980,935)
Balance as at 31 December 2018	1,053,643,405	258,920,263	637,931,252	1,950,494,920

AMBEON CAPITAL PLC AND ITS SUBSIDIARIES
CASH FLOW STATEMENT

<i>For the period Ended 31st December,</i>	CONSOLIDATED		COMPANY	
	2018	2017	2018	2017
	Rs.	Rs.	Rs.	Rs.
Cash flows From Operating Activities				
Profit before Taxation	(257,408,354)	106,769,337	(34,497,102)	(295,641,990)
Profit/(Loss) before tax from discontinued operations	(2,114,371)	(1,737,320)	-	-
Adjustment for				
Depreciation, amortization and impairment charges	314,800,686	244,889,489	2,716,757	(28,269)
Amortisation of Intangible Assets	6,389,089	14,660,773	-	-
Impairment of Property Plant & Equipment	-	-	-	-
Change in Fair Value of Financial Assets Held for Trading	177,259,891	(217,084,634)	-	(13,109,599)
Provision for Retirement Gratuity	86,258,600	54,013,157	-	-
Change in fair value of investment property	(11,200,000)	(219,234,192)	-	-
Script Dividend Income	-	(4,678,110)	-	-
Interest Income	(15,662,767)	(20,330,007)	-	-
Interest Expense	678,721,844	263,753,091	125,684,773	-
Dividend Income	(814)	-	-	(3,422,089)
(Gain)/Loss on disposal of Property, Plant & Equipment	(4,904,764)	(51,305,383)	-	-
Impairment of trade and other receivables	-	(18,833,982)	-	-
Deferred income	-	(176,245)	-	-
Profit on Disposal Of Current Investment	(1,256,049)	(5,407,073)	-	5,644,023
(Gain)/Loss on disposal of Equity Accounted Investees	(1,732,879)	-	-	-
Allowance for obsolete and slow moving inventories	-	50,000,000	-	-
Operating Profit before Working Capital Changes	969,150,112	195,298,901	93,904,428	(306,557,924)
(Increase)/Decrease in Inventories	133,042,126	(667,712,811)	-	-
(Increase)/Decrease in Trade & Other Receivables	(948,299,706)	(363,339,725)	8,271,995	(3,342,877)
Increase/(decrease) in Deferred income	(91,575,797)	-	-	-
Increase/(Decrease) in Trade & Other Payable	(369,314,701)	677,387,120	(813,978)	228,850,881
Cash Generated from Operations	(306,997,967)	(158,366,515)	101,362,445	(81,049,920)
Interest Paid	(654,643,489)	(266,227,118)	-	-
Income Tax Paid	(29,711,846)	(78,213,092)	-	-
Retiring Gratuity Paid	(42,695,450)	(27,384,346)	(4,615,058)	-
Net Cash Flow from Operating Activities	(1,034,048,752)	(530,191,071)	96,747,387	(81,049,920)
Cash Flow from Investing Activities				
Net Proceeds from Government Securities	708,220,476	(480,738,938)	708,220,476	(495,986,223)
Acquisition of Property, Plant & Equipment	(511,941,840)	(121,187,887)	(20,000,000)	181,800
Purchase of Intangible Assets	(1,405,550)	(5,978,038)	-	-
Investments in Investment Property	(1,038,856)	(4,065,521)	-	-
Net investment on Acquisition of subsidiary	-	(149,377,173)	-	-
Addition of Investment property	(1,038,856)	-	-	-
Investment In Other Financial Assets	(225,628,341)	(120,465,215)	-	-
Dividend Received	814	-	-	3,422,089
Proceeds from disposal of Assets Held for sales	-	1,000,000,000	-	-
Proceeds on Disposal of Property, Plant & Equipment	24,068,741	15,879,522	-	-
Proceeds from sale of Investments	212,211,430	590,018,737	-	-
Additions to Assets Held for sale	-	(7,706,197)	-	-
Interest Income Received	15,662,767	18,060,580	-	-
Net Cash Flow Used in Investing Activities	219,110,786	734,439,870	688,220,476	(492,382,334)
Cash Flow from Financing Activities				
Loan Received	49,923,120,873	2,345,444,657	49,894,669,873	435,981,962
Repayments of Loans	(48,763,824,188)	(106,363,722)	(48,354,635,447)	(1,575,481)
Proceed from Share Disposal	111,286,186	-	-	-
Acquisition by Non Controlling Interest	132,000,000	-	-	-
Dividend Paid	(443,821,295)	-	(360,980,933)	-
Net Cash Flow from Financing Activities	958,761,576	2,239,080,935	1,179,053,493	434,406,481
Net Increase/Decrease in Cash & Cash Equivalent during the period	143,823,610	2,443,329,734	1,964,021,355	(139,025,773)
Cash & Cash Equivalents				
Net movement during the period	143,823,610	2,443,329,734	1,964,021,355	(139,025,773)
At the beginning of the period	(761,812,454)	(2,584,634,208)	(2,009,722,836)	(1,866,578,857)
At the end of the year (Note A)	(617,988,844)	(141,304,474)	(45,701,480)	(2,005,604,630)
Note A-Cash and Equivalents are as follows				
Cash in Hand & Bank	629,396,047	2,184,184,294	321,537	89,262
Bank & Other Borrowings	(1,247,384,891)	(2,325,488,768)	(46,023,018)	(2,005,693,892)
	(617,988,844)	(141,304,474)	(45,701,480)	(2,005,604,630)

1 Corporate Information

The Company was incorporated in Sri Lanka on 20th September 2006 as a public limited liability company and re-registered under the Company's Act No 7 of 2007 on 3rd August 2009. On 17th May 2012 the company was successfully listed on the Diri Savi Board of Colombo Stock Exchange and subsequently changed its name to Taprobane Holdings PLC on 13th July 2012 and as Ambeon Capital PLC on 10th May 2018.

The Interim Financial Statements of the Group and the Company for the three months ended 31st December 2018 were authorised for issue by the Board of Directors on 12th February 2019.

2 Basis of Preparation

The Institute of Chartered Accountants of Sri Lanka has issued a new volume of Sri Lanka Accounting Standards which became applicable for financial periods beginning on or after 1st January 2012. The Consolidated Financial Statements of the Group and the Financial Statements of the company which comprise the Statement of Financial Position, Statement of Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows and Notes thereto have been prepared in accordance with these Sri Lanka Accounting Standards (SLFRSs and LKASs) laid down by the Institute of Chartered Accountants of Sri Lanka.

SLFRS 15

SLFRS 15 establishes a five-step model to account for revenue arising from contracts with customers. Under SLFRS 15, revenue is recognized at an amount that reflects the consideration to which an entity expects to be entitled in exchange for transferring goods or services to a customer. The new revenue standard will supersede all current revenue recognition requirements under SLFRS.

SLFRS 09

SLFRS 9 brings together all three aspects of the accounting for financial instruments project: classification and measurement, impairment and hedge accounting. SLFRS 9 is effective for annual periods beginning on or after 1 January 2018. However, paragraph 7.2.16 of SLFRS 9 permits an entity not to apply the requirements of this Standard to interim periods prior to the date of initial application, if it is impracticable.

Based on the "Statement of Alternative Treatment (SoAT) on the Figures in the Interim Financial Statements" issued by The Institute of Chartered Accountants of Sri Lanka entities are granted with the option to prepare Interim Financial Statements continuing the application of LKAS 39 with disclosures on impact to the Income Statement and Statement of Profit or Loss and Other Comprehensive Income for the period if SLFRS 9 has been applied. Accordingly, as permitted by the above SoAT, the Company has prepared the Interim Financial Statements for the quarter ended 30th September 2018 based on LKAS 39.

These interim consolidated financial statements should be read in conjunction with the annual financial statements for the year ended 31 March 2018. The Accounting policies are in line with the policies published in the annual financial statements for the year ended 31 March 2018.

3 Segment Information - Group

	CONSOLIDATED	
	2018/19	2017/18
	09 Months	09 Months
(a) Revenue		
Manufacturing Footwear	436,574,107	518,014,000
Manufacturing Porcelain	1,562,505,451	1,569,714,000
Manufacturing Textile	6,550,921,414	5,726,651,000
Investment	(46,693,558)	214,517,425
IT and related Services	4,781,257,215	-
Financial Services	84,517,714	90,402,779
Property	23,933,253	30,218,898
Revenue	13,393,015,596	8,149,518,101
Direct Expenses	(10,534,909,902)	(6,625,574,547)
Gross Profit	2,858,105,694	1,523,943,554
(b) Industry Segment Profit		
Manufacturing Footwear	(309,292,005)	(157,568,000)
Manufacturing Porcelain	74,190,522	(78,614,000)
Manufacturing Textile	334,581,478	264,731,000
Investment	(851,467,813)	(264,406,435)
IT and related Services	416,996,435	-
Financial Services	26,093,252	48,488,413
Property	51,489,778	294,138,359
Profit Before Income Tax	(257,408,354)	106,769,337
Income Tax Expense	(169,604,563)	(81,203,554)
Profit/(Loss) for the period from continuing operations	(427,012,917)	25,565,783
Discontinued operations	(2,114,371)	(1,737,320)
Profit/(Loss) for the Period	(429,127,288)	23,828,463
Other Comprehensive Income for the period (Net of Tax)	(216,969,599)	-
Total Comprehensive Income for the period	(646,096,886)	23,828,463

4 Stated Capital

Stated Capital is represented by number of shares in issue as given below:

	2018	2017
Ordinary Shares	1,002,724,815	1,002,724,815

5 Related Party Transactions

The nature of Related Party Transactions in the period under review is similar to those reported in the annual report for the year 2017/18.

6 Share Information

6.1 Market Price per Share

The market value of an ordinary share of Ambeon Capital PLC was as follows:

	31.12.2018	31.12.2017
Last traded price recorded for 3 months ended	4.00	5.50
Highest price recorded for 3 months ended	5.10	6.40
Lowest price recorded for 3 months ended	4.00	5.00

6.2 Public Share Holdings

The company is not in compliance with the Minimum Public Holding requirements for Companies listed on the Dir Savi Board as per Rule 7.13.1 (b) of the Listing Rules of the Colombo Stock Exchange, under Option 2, i.e Float-Adjusted Market Capitalization of less than Rs 1 Billion with 200 Public Shareholders and a Public Holding percentage of 10%.

The Company's Public Holding as at 31st December 2018

Float-Adjusted Market Capitalization	104,487,420.00
Number of Public shareholders	644
Percentage of ordinary shares held by the public	2.61%

6.3 Twenty Major Shareholders

		31.12.2018	
	Name of Shareholders	Number of Shares	(%)
1	CHC Investment (Pvt) Ltd	568,327,024	56.68%
2	Seylan Bank PLC/ARRC Capital (Pvt) Ltd	355,526,332	35.46%
3	Commercial Bank Ceylon PLC/ARRC Capital (Pvt) Ltd	51,190,106	5.11%
4	Seylan Bank Limited/Ruwan Prasanna Sugathadasa	18,227,706	1.82%
5	Mr. Sarinda Wasanth Unamboowe	915,700	0.09%
6	Ms. Fleur Annaleen Ann Mack	825,000	0.08%
7	Mr. Ranil Prasad Pathirana	500,000	0.05%
8	Hatton National Bank PLC/Sanka Ramoorthy Nadaraj Kumar	497,709	0.05%
9	Mr. Joseph Callistus Ethelred Alles	342,810	0.03%
10	Mrs. Shirani Sunila Silva	289,400	0.03%
11	Mrs. Banuri Kumari Vanya Wickramasinghe	267,500	0.03%
12	Seylan Bank PLC/Dr.Thirugnanasambandar Senthilvel	259,097	0.03%
13	Mr. Ram Pritamdas/'593403092Vn','498112668Vn'	229,282	0.02%
14	Merchant Bank Of Sri Lanka & Finance PLC 01	220,000	0.02%
15	Mr. Kangasu Chelvadurai Vignarajah	207,547	0.02%
16	Pathirage Hemantha Devapriya Perera	157,380	0.02%
17	Mr. Ravindra Erle Rambukwella	153,430	0.02%
18	Asha Financial Services Limited/Mr.C.N.Pakianathan	152,399	0.02%
19	MBSL/U.L.M. Nowfer	150,000	0.01%
20	Mr. Thangaraj Ravi Kumar	148,840	0.01%
		998,587,262	99.59%

6.4 Director's and Chief Executive Officers Share Holding as at 31st December 2018

	Number of Shares
Mr. S.E. Gardiner	Nil
Mr. P. D. J. Fernando	Nil
Mr. A. L. Devasurendra	138
Mr. S.H. Amarasekera	Nil
Mr. R.P. Pathirana	500,000
Mr. S.W. Unamboowe	915,700
Mr. P.D. Rodrigo	Nil
Mr. N.M. Prakash	20,477
	1,436,315

7 Earnings per Share

The computation of the Basic Earnings per Ordinary Share has been done based on net profit attributable to ordinary shareholders for the year, divided by weighted average number of ordinary shares in issue as at the balance sheet date and calculated as follows.

	Group		Company	
	31/12/2018	31/12/2017	31/12/2018	31/12/2017
<u>Amounts used as the Numerator</u>				
Net Profit / (Loss) Attributable to Ordinary Shareholders	<u>(527,893,306)</u>	<u>(65,540,024)</u>	<u>(34,497,102)</u>	<u>(295,641,990)</u>
Weighted Average Number of Ordinary Shares in Issue (Nos.)	1,002,724,815	1,002,724,815	1,002,724,815	1,002,724,815
Basic Earnings per Ordinary Share (Rs.)	(0.53)	(0.07)	(0.03)	(0.29)

8 Comparative Information

The presentation and classification of the financial statements of the previous years have been amended, where relevant for better presentation and to be comparable with those of the current year.

9 Commitment and Contingencies

Ambeon Holdings PLC has provided corporate guarantee facilities to banks on behalf of its subsidiaries to obtain banking facilities. The details are as follows.

Name of the Company	Bank	Amount LKR Mn	Outstanding Balance as at 31st December
Royal Fernwood Porcelain Ltd	People's Bank	Rs. 65	0.7
Millennium Information Technologies (Pvt) Limited	Seylan Bank	Rs. 2,000	557
South Asia Textiles Ltd	Peoples Bank	804 (USD 4.4)	1,229

10 Dispose of Lexinton Financial Services (Pvt) Ltd by Lexinton Holdings (Pvt) Ltd

On 11 October 2018, Lexinton Financial Services (pvt) Ltd was disposed (100,000 ordinary shares) by Lexinton Holdings (pvt) Ltd for a Total Consideration of Rs.5,236,007 being the Net Assets Value of the company.

11 Foreign Currency Translation- South Asia Textiles Ltd

The Financial Statements are presented in United States Dollar (USD), which is the Company's presentation currency and Functional Currency. Transactions in foreign currencies are initially recorded at the functional currency rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are retranslated at the functional currency rate of exchange ruling at the balance sheet date. All translation differences from functional currency to reporting currency are taken to statement of other comprehensive income. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was determined.

The Company's functional and presentation currency was Sri Lanka Rupees (LKR). At present, the Company having considered the underlying significant changes in transactions, events and conditions that mainly influences the Revenue sales prices and the cost of the products, determined that the functional currency of the Company is United States Dollars (USD).

Based on the above facts the Management of the company has decided to use United States Dollars as the functional currency and presentation currency in the preparation and presentation .

12 Debt Novation agreement between Dankotuwa Porcelain PLC and Ambeon Holdings PLC

As per the debt novation agreement entered on 31/12/2013, The company assumed a liability owed by Dankotuwa Porcelain PLC to Browns Investments PLC, SFL Services (Pvt) Ltd, Brown & Co. PLC amounted to LKR 329Mn and Ambeon Holdings PLC recorded for a receivable from Dankotuwa Porcelaine PLC for the same amount.

13 Transfer from Property Plant and Equipment to Investment Property - Ceylon Leather Proudct Limited

During the quater the company transferred Land and Building located at Mattakkuliya from Property Plant and Equipment to Investment Property, at fair value amounting to LKR 1,085,766,025/-.

14 FAIR VALUE MEASUREMENT

GROUP

The Group uses the following hierarchy for determining and disclosing the fair value of assets and liabilities by valuation technique:

Level 1: Quoted (unadjusted) prices in active markets for identical assets or liabilities

Level 2: Other techniques for which all inputs that have a significant effect on the recorded fair value are observable, either directly or indirectly

Level 3: Techniques that use inputs that have a significant effect on the recorded fair value that are not based on observable market data

The Group held the following assets and liabilities carried at fair value in the statement of financial position:

Assets Measured at Fair Value

	Level 1		Level 2		Level 3	
	31/12/2018	31/03/2018	31/12/2018	31/03/2018	31/12/2018	31/03/2018
	LKR	LKR	LKR	LKR	LKR	LKR
Investment Properties	-	-	-	-	2,774,993,034	1,688,188,153
Assets classified as Held for sale	-	-	22,451,836	22,451,836	-	-
Land	-	-	-	-	881,848,600	1,806,927,600
Buildings	-	-	-	-	957,885,113	1,011,716,139
Building on Leasehold Land	-	-	-	-	730,700,001	730,700,001
FVTPL - Financial Assets						
Financial assets held for trading:	1,304,548,064	2,409,055,751	-	-	-	-
	1,304,548,064	2,409,055,751	22,451,836	22,451,836	5,345,426,748	5,237,531,893

	Level 1		Level 2		Level 3	
	31/12/2018	31/03/2018	31/12/2018	31/03/2018	31/12/2018	31/03/2018
	LKR	LKR	LKR	LKR	LKR	LKR
COMPANY						
Assets Measured at Fair Value						
FVTPL - Financial Assets						
Financial assets held for trading:	49,570,129	757,790,605	-	-	-	-
	49,570,129	757,790,605	-	-	-	-

Financial Assets and Liabilities measured or disclosed at Fair Value

The fair value of the financial assets and liabilities is included at the amount at which the instrument could be exchanged in a current transaction between willing parties, other than in a forced or liquidation sale.

The following methods and assumptions were used to estimate the fair values:

The fair values of the quoted equities are based on price quotations at the reporting date.

Long-term fixed-rate borrowings are evaluated by the Group based on interest rates.

Those assumptions for assets categorised as Level 3 has been described under respective note numbers.

During the reporting period ended 31 December 2018 and 31 March 2018, there were no transfers between Level 1 and Level 2 fair value measurements.

15 Events after the Balance Sheet date

No circumstances have arisen since the reporting date, which would require adjustment to or disclosure in the Financial Statements other than below.

15.1 Disposal of Lexington Holdings (pvt) Ltd to Colombo City Holdings PLC

Ambeon Capital PLC has sold its 72% total stake in Lexinton Holdings (Pvt) Ltd to Colombo City Holdings PLC at a price per share of LKR 6.02, amounting to a total sales consideration of of LKR 298,680,270 on 28th January 2019.

15.2 Novation In Accordance With The Agreement To Swap Shares

Upon the completion of Debt Novation from Dankotuwa Porcelaine PLC to Ambeon Holdings PLC as per the debt novation agreement ,Ambeon Holdings PLC recorded a liability for Browns Investments PLC,SFL Services (Pvt) Ltd,Brown & Co. PLC and recorded an asset for the same as receivable from Dankotuwa porecelain PLC.

16 Interim figures are provisional and subject to an audit.

AMBEON CAPITAL PLC AND ITS SUBSIDIARIES

CORPORATE INFORMATION

Name of the Company

Ambeon Capital PLC

Legal Form

A Public Limited Liability Company

Quoted on the Colombo Stock Exchange on the 17th May 2012 and

Incorporated in Sri Lanka on 20th September 2006

Company Registration Number

PB 1090 PQ

Board of Directors

Mr. Sanjeev Edward Gardiner- Chairman

Mr. Ajith Lasantha Devasurendra - Deputy Chairman

Mr. Nadarajah Murallee Prakash - Group Managing Director/CEO

Mr. Priyantha Damian Joseph Fernando - Independent Non- Executive Director

Mr. Shiran Harsha Amarasekera - Non Independent Non- Executive Director

Mr. Ranil Prasad Pathirana- Non Independent Non - Executive Director

Mr. Sarinda Wasanth Unamboowe - Independent Non- Executive Director

Mr. Parakrama Devasiri Rodrigo - Independent Non- Executive Director

Secretaries

Managers & Secretaries (Pvt) Ltd

No. 08, Tickell Road ,

Colombo 08.

Business & Registered Office

No.10, Gothami Road,

Colombo 08

Telephone : 94 11 5328100

Fax : 94 11 5328109

Auditors

ERNST & YOUNG

Chartered Accountants,

No. 201, De Saram Place,

Colombo 10.

Bankers

Seylan Bank PLC - Millennium Branch

Pan Asia Banking Corporation PLC - Head Office

National Development Bank PLC - Head Office